

Indian Banks: Will the End of Life of Windows XP Give Linux a Boost?

When Microsoft announced the end of life for its long running Windows XP software, it spelt trouble for Indian banks. Most of their infrastructure is still running on Windows XP and they have no choice but to migrate. If they don't, they are in trouble! Here's where Linux and open source can come to their rescue.



Beginning April 8, 2014, Microsoft will no longer support Windows XP. Over 34,000 bank branches in India are likely to be affected by this decision. If the banking companies do not switch over, they will become vulnerable to attacks. A study conducted by Ascentius Consulting on behalf of Microsoft revealed that penetration of Windows XP in the Indian banking sector is about 70 per cent, which is a pretty high figure.

Microsoft confirms this fact in a statement, "Some 34,115 Indian PSU bank branches are at risk, thanks to their reliance on Windows XP. Windows XP will no longer be supported by Microsoft, beginning April 8, 2014, but the study shows that the penetration of Windows XP in the banking sector is still high at 40-70 per cent."

The risks...

One of the biggest risks that the banks might face by not migrating from Windows XP even after the end of its life is that their ability to respond to customers might deteriorate. Since a large number of bank branches in the rural and semi-urban areas still rely on Windows XP, the efficiency may go down, even leading to a complete denial of services to the customers.

It may become difficult to manage waiting times. "The fiscal impact of this could be as much as a loss of business opportunities worth Rs 11,000 million in a day and a loss of

income worth Rs 3,300 million over a period of three days (assuming that a major incident may take three days for the systems to come up to normal functioning)," revealed the Microsoft study.

Besides, XP users are at six times more risk than the users of other modern day, upgraded operating systems, despite the fact that they encounter the same amount of threats. Also, they are 21 times more vulnerable, said Microsoft. So if a bank doesn't plan to migrate, it might just end up spending three times more.

The challenges...

Apart from ensuring perfect security, IT heads of the financial sector have several other challenges to face. Shyam Panicker, CIO, SBI Caps, said, "Shrinking IT budgets and lack of flexibility are the two major challenges faced by our sector. Apart from these, there is not much choice when it comes to innovating in technologies, as the processes in our sector need to be constantly running. We have to take utmost care of the regulatory and policy requirements. So, we have a lot to consider before switching over to any new technology."

The opportunities...

The risks are many but so are the opportunities. The end of life for Windows XP is one of those opportunities for banks to

